

Law of Equity and Trusts (EQT1)

Module 1: Foundations of Equity

Lesson 1: History of Equity and its Reception in Uganda

Lesson Notes

KMVTECHUG

Version: 2026

What Is Equity?

Equity is the body of principles developed by the English Court of Chancery to soften the rigid application of the common law. Where the common law produced harsh or incomplete results, Equity intervened on grounds of conscience and fairness.

Equity does not replace the common law. It works alongside it. The classic description is that Equity is a gloss on the common law: it supplements the law rather than contradicting it for its own sake.

Key idea: Equity is about fairness in the administration of justice. It prevents the strict letter of the law from producing injustice in individual cases.

Historical Development

In medieval England, litigants who could not obtain a just result in the common law courts petitioned the King. These petitions were delegated to the Chancellor, who decided according to conscience. Over time this developed into a distinct Court of Chancery with its own doctrines, maxims, and remedies.

Key historical milestones include the growth of the use (the forerunner of the trust), the systematic development of equitable remedies such as specific performance and injunctions, and the eventual fusion of administration under the Judicature Acts. The Earl of Oxford's Case (1615) confirmed that where law and equity conflict, equity prevails.

Reception in Uganda

Equity was received into Uganda through the 1902 and 1911 Orders in Council. Today its application is anchored in statute and the Constitution.

Judicature Act Cap 16 (7th Revised Edition): sections 14(2)(b) and 14(4) require courts to administer common law and equity concurrently, with equity prevailing in case of conflict.

Constitution of Uganda 1995, Article 126(2)(e): courts must administer justice without undue regard to technicalities — often summarised as substance over form.

Reflect: Why does the Constitution's emphasis on substance over form matter for the day-to-day work of a Ugandan court applying Equity?

Equity and the Common Law – Concurrent Administration

Ugandan courts apply common law and equity in the same proceedings. There is no longer a separate Court of Chancery. Where the rules conflict, equity prevails under the Judicature Act Cap 16.

In practice a claimant can seek legal remedies (such as damages) and equitable remedies (such as an injunction or specific performance) in one action. The court chooses the remedy that does justice in the circumstances.

Why Equity Still Matters

Equity remains central to Ugandan legal practice in trusts, land disputes, family property, fiduciary obligations, and interim relief. Many commercial and property transactions depend on equitable principles.

Example: a purchaser who has paid for land and taken possession but has not yet completed formal transfer may rely on equitable doctrines to protect their interest — subject always to the Registration of Titles Act Cap 240.

Key Takeaways

- Equity developed to mitigate the rigidity of the common law and is based on conscience and fairness.
- It was received in Uganda through colonial Orders in Council and is now mandated by the Judicature Act Cap 16.
- Courts administer law and equity concurrently; equity prevails in conflict.
- Article 126(2)(e) of the Constitution reinforces substance over form.
- Equity is daily practice in trusts, land, remedies and fiduciary disputes.

Reflect: *In a dispute over family land registered in one person's name, which aspects of Equity are most likely to be relevant?*

Statutes You Must Know for This Lesson

Always use the 7th Revised Edition Cap numbers (effective 1 July 2024):

Judicature Act Cap 16

Concurrent administration of common law and equity; equity prevails in conflict.

Constitution of Uganda 1995

Article 126(2)(e) — justice without undue regard to technicalities.

Registration of Titles Act Cap 240

Interaction between registered title and equitable interests (relevant throughout the course).

How This Lesson Connects to the Rest of the Course

Everything that follows — maxims, remedies, trusts, trusteeship, tracing — rests on the foundation that Equity is part of Ugandan law. When you analyse a problem, start by asking whether an equitable right or remedy is engaged, and under which statutory framework the court is operating.

Key idea: Master the reception story and the Judicature Act Cap 16 early. They appear again and again in exam answers and in practice.

Quick Revision Checklist

- ☐ I can define Equity and explain how it relates to the common law.
- ☐ I can outline the historical path from petitions to the Chancellor to the modern position.
- ☐ I can state how Equity was received in Uganda and cite the Judicature Act Cap 16.
- ☐ I can explain Article 126(2)(e) and why it matters for Equity.
- ☐ I can give one practical example of Equity operating in a Ugandan context.

Further Reading Direction

Revisit the Judicature Act Cap 16 sections on concurrent administration. Cross-check any older materials that still cite Cap 13 — the correct modern Cap is 16.